

Wave (I):	1784-1835	= 51 (55) years
Wave (II):	1835-1842	= 7 (8) years
Wave (II) in inflation-adjusted Dow:	1835-1857/9	= 22/24 (21) years
Wave (III):	1842-1929	= 87 (89) years
Wave (IV):	1929-1932	= 3 years
Wave (IV) in inflation-adjusted Dow:	1929-1949	= 20 (21) years
Waves (I) through (III):	1784-1929	= 145 (144) years

Besides the **55** years that wave (V) would have lasted from 1932 had it ended in 1987, waves (III) through (V) would have lasted 145 (**144**) years from 1842 had they ended in 1987, thereby matching the 1784-1929 span. As you can see, *every* Supercycle wave spans a Fibonacci number of years (± 1 year in all but two waves), *except* wave (V), which “should” have ended in 1987.

The Meaning of 1987

As it turned out, 1987 was the most dramatic year of its decade, featuring both a major high (right at the target calculated by the method given in *Elliott Wave Principle*; see upcoming discussion) and a major low, with a record-breaking crash in between. In one sense, the market has not advanced since then. As will be mentioned in Chapter 14, the dollar has been falling for years against other currencies. As a result, the Dow in terms of Japanese yen is actually below its 1987 high. One might suggest that the Dow's gain since 1987 has simply been a reflection of the dollar's erosion of purchasing power. Since the Value Line index has made no net progress since then even in terms of *dollars* (see Figure 8-4), it must have fallen quite a ways in terms of yen.

1987 appears to have marked the end of the trend toward market and social advancement in additional subtle though important ways. As Figures 10-2 through 10-5 will show, in terms of market sentiment, 1987 was the year that stocks attained an overvaluation comparable to those of the major tops of 1966-68 and 1929, a condition they have mostly maintained since. As Figure 9-5 will reveal, in terms of market momentum, 1987 was the year that marked the high in the 3-year rate of change for the entire Cycle wave V bull market. As will be discussed in Chapter 13, 1987 was the year that the indexes of U.S. social health topped out and began rapidly deteriorating, a phenomenon far more common to corrective waves than impulsive waves.